CORRECTED TRANSCRIPT

Microsoft Corporation (Nasdaq: MSFT)

Q3 FY2026 Earnings Call

Event date: April 24, 2026 | 5:00 PM ET | Event type: Earnings call | Reference: VT-614309

CORPORATE PARTICIPANTS

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Elena Marsh, Chief Executive Officer, Microsoft Corporation

Thomas Keller, Chief Financial Officer, Microsoft Corporation

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Priya Natarajan, Analyst, Lantern Capital Markets

Aisha Bello, Analyst, Ashford Grey

Carlos Mendes, Analyst, Birchwood & Co.

Mei-Ling Chao, Analyst, Stonehaven Partners

Patrick O'Rourke, Analyst, Independent

Tom Whitaker, Analyst, Independent

MANAGEMENT DISCUSSION SECTION

Operator

Good afternoon. My name is Josh and I will be your conference operator today. At this time I would like to welcome everyone to the Microsoft Corporation Q3 FY2026 earnings conference call. All lines have been placed on mute to prevent any background noise. After the speakers' remarks there will be a question-and-answer session. If you would like to ask a question during this time, please press star then the number one on your telephone keypad. Thank you. I will now turn the call over to Jonathan Pryce, Vice President of Investor Relations. You may begin.

Jonathan Pryce, Investor Relations

Thank you, and good afternoon everyone. With me today are Elena Marsh, our Chief Executive Officer, and Thomas Keller, our Chief Financial Officer — this is Thomas Keller's last call as CFO, and Grace Lindqvist, who takes over on May 1, is also with us. Before we begin, I would like to remind you that today's discussion contains forward-looking statements that are based on our current expectations and are subject to risks and uncertainties described in our SEC filings. Actual results may differ materially. We will also discuss non-GAAP financial measures; reconciliations to GAAP are in our earnings release and on our investor relations website. Unless otherwise noted, growth rates are year over year and, for revenue, we will also give constant-currency growth. The earnings release and the slides we will reference are available on our website. With that, I will turn the call over to Elena.

Elena Marsh, Chief Executive Officer

Thank you, Jonathan, and thanks to everyone for joining us. Q3 FY2026 was another good quarter for Microsoft. Revenue grew 12% to $60.8 billion, and Intelligent Cloud grew 17%, driven by Azure and other cloud services growth, including the AI services contribution.

During the quarter the Company recorded a $0.7 billion restructuring charge related to the consolidation of hardware product lines. Separately, the Company announced that Thomas Keller will step down as Chief Financial Officer effective April 30, 2026 and that Grace Lindqvist will succeed him.

Microsoft Cloud continues to be the engine of our growth as customers consolidate on our platform. Azure capacity additions came online on schedule, and we remain capacity constrained in AI services through at least the end of the calendar year.

Copilot is now deployed at more than seventy percent of the Fortune 500, and seat expansion within existing customers was the largest contributor to Microsoft 365 commercial growth this quarter.

Turning to Productivity and Business Processes: revenue was $21.9 billion, up 12%, reflecting Microsoft 365 commercial seat growth and Copilot attach.

Turning to More Personal Computing: revenue was $10.4 billion, up 2%, reflecting Windows OEM and devices against a soft PC market, offset by search and news advertising.

Finally, on people and culture: we are investing heavily in AI skilling for our own employees and for customers, and employee engagement remained high through a period of significant organisational change. We also closed the quarter with record commercial bookings and a commercial remaining performance obligation that grew faster than revenue.

Our strategy is working and we are investing to extend our leadership. With that, let me hand over to Thomas to take you through the numbers.

Thomas Keller, Chief Financial Officer

Thank you, Elena. Let me walk through the results for Q3 FY2026 and then our outlook.

Total revenue was $60.8 billion, up 12% year over year. In constant currency, revenue grew 14%. By segment: Productivity and Business Processes was $21.9 billion, up 12%; Intelligent Cloud was $28.5 billion, up 17%; More Personal Computing was $10.4 billion, up 2%.

In Productivity and Business Processes, revenue of $21.9 billion was up 11.6% year over year and up sequentially, driven by Microsoft 365 commercial seat growth and Copilot attach. Growth was broad-based across regions.

In Intelligent Cloud, revenue of $28.5 billion was up 16.8% year over year and up sequentially, driven by Azure and other cloud services growth, including the AI services contribution. Growth was broad-based across regions.

In More Personal Computing, revenue of $10.4 billion was up 2.2% year over year and down sequentially, driven by Windows OEM and devices against a soft PC market, offset by search and news advertising. Mix was favourable.

Gross margin was 68.2%, compared with 68.5% a year ago. Operating expenses were $15.8 billion, up 12%, as we continued to invest in capacity and talent. Operating income was $24.9 billion, a 41% margin.

The effective tax rate was 18.0%. Net income was $20.6 billion and GAAP diluted earnings per share were $2.90. Results include restructuring charge of $0.7 billion.

Cash flow from operations was $29.6 billion and capital expenditures were $15.8 billion, for free cash flow of $13.8 billion. We returned $6.8 billion to shareholders, including $1.1 billion of share repurchases. We ended the quarter with $83.7 billion in cash and marketable securities and $46.0 billion of debt.

Now let me turn to our outlook for Q4 FY2026. My commentary includes the impact of foreign exchange; at current rates we expect FX to be a slight headwind to revenue growth by about one point. Overall, we expect total revenue growth in the low double digits range.

In Productivity and Business Processes, we expect revenue of $22.70 billion to $23.20 billion.

In Intelligent Cloud, we expect revenue of $30.40 billion to $31.10 billion.

In More Personal Computing, we expect revenue of $10.10 billion to $10.40 billion.

That implies total revenue of $63.2 billion to $64.7 billion. We expect cost of revenue to grow with capacity additions, operating expenses to grow in the high single digits, and the effective tax rate to be approximately 18%. These figures are not in the press release; as usual, they are provided on this call and in the slides on our investor relations site.

With that, Elena and I are happy to take your questions. Operator, please open the line.

QUESTION AND ANSWER SECTION

Operator

Thank you. We will now open the call for questions. As a reminder, please limit yourself to one question and one follow-up. Our first question comes from the line of Ingrid Solberg with Meridian Street Research. Please go ahead.

<Q - Ingrid Solberg - Meridian Street Research>

Thanks for taking the question. Can you talk about what you are seeing in demand for Intelligent Cloud as you look into the next couple of quarters, and whether the growth rate you printed this quarter is sustainable?

<A - Elena Marsh>

Thanks for the question. Demand in Intelligent Cloud remains ahead of our ability to supply. We grew 17% this quarter on Azure and other cloud services growth, including the AI services contribution, and while comparisons get tougher, the pipeline supports continued growth. I wouldn't extrapolate any single quarter, but the drivers are durable.

To put some numbers on it: Intelligent Cloud is now 47% of revenue, up from 45% a year ago.

<Q - Ingrid Solberg - Meridian Street Research>

Got it, thank you. And just a follow-up on the mix: anything to call out?

<A - Thomas Keller>

It's predominantly volume. Pricing was roughly stable year over year.

Operator

Your next question comes from the line of Priya Natarajan with Lantern Capital Markets. Please go ahead.

<Q - Priya Natarajan - Lantern Capital Markets>

Thank you. Just to clarify the outlook you gave: is the growth you are guiding to on a reported or constant-currency basis, and what is embedded for the second half?

<A - Thomas Keller>

The segment ranges I gave are at current exchange rates, so they are reported-basis numbers; in constant currency growth would be about a point higher. For the second half we expect similar trends, with Azure growth accelerating modestly as capacity comes online.

And to be clear about the base: the comparison a year ago was $54.1 billion of revenue, so the growth is on a large and growing base.

<Q - Priya Natarajan - Lantern Capital Markets>

That's helpful. And as a quick follow-up, is there any change in the linearity you saw through the quarter?

<A - Thomas Keller>

Mix was slightly favourable, mostly from the product cycle timing we talked about.

Operator

Your next question comes from the line of Aisha Bello with Ashford Grey. Please go ahead.

<Q - Aisha Bello - Ashford Grey>

Thanks for taking my question. On the regulatory front, how do you see the risk from the cloud licensing investigations in Europe and what, if anything, is embedded in your outlook?

<A - Elena Marsh>

We engage constructively with regulators and comply with the law everywhere we operate. On the cloud licensing investigations in Europe, we have reflected what we know today in our outlook; the range of outcomes is wide and we will update you as there is clarity.

We will give you more detail at our investor day later this year.

<Q - Aisha Bello - Ashford Grey>

That's helpful. And as a quick follow-up, is there any change in the linearity you saw through the quarter?

<A - Thomas Keller>

Nothing unusual on linearity; the quarter was fairly even and we exited with good momentum.

Operator

Your next question comes from the line of Carlos Mendes with Birchwood & Co.. Please go ahead.

<Q - Carlos Mendes - Birchwood & Co.>

Hi, thank you. On gross margin: you came in at 68.2%. Can you walk through the puts and takes and how we should think about the trajectory from here?

<A - Thomas Keller>

Sure. Gross margin was 68.2% versus 68.5% a year ago. The main drivers were mix and scale in our data centers, partly offset by foreign exchange. Going forward we expect margins to be roughly in this range, with normal quarterly variation of fifty to a hundred basis points.

To put some numbers on it: Intelligent Cloud is now 47% of revenue, up from 45% a year ago.

<Q - Carlos Mendes - Birchwood & Co.>

Got it, thank you. And just a follow-up on the mix: anything to call out?

<A - Thomas Keller>

Nothing unusual on linearity; the quarter was fairly even and we exited with good momentum.

Operator

Your next question comes from the line of Mei-Ling Chao with Stonehaven Partners. Please go ahead.

<Q - Mei-Ling Chao - Stonehaven Partners>

Thanks. You returned $6.8 billion to shareholders this quarter. Any change in how you prioritise buybacks versus dividends versus investment?

<A - Thomas Keller>

Our framework hasn't changed. We invest first in the business, then return excess cash. This quarter that was $1.1 billion of repurchases and $5.7 billion of dividends. We have $10 billion remaining under the current authorization.

I'd also point you to the supplemental schedules we posted, which break this down by quarter.

Operator

Your next question comes from the line of Patrick O'Rourke with Independent. Please go ahead.

<Q - Patrick O'Rourke - Independent>

Hi. Could you address the competitive landscape in Intelligent Cloud? We're hearing about pricing pressure from a couple of your peers.

<A - Elena Marsh>

We take every competitor seriously, but our position in Intelligent Cloud is defined by the breadth of our platform. Pricing in the quarter was consistent with our expectations and we gained share in the segments we track.

To put some numbers on it: Intelligent Cloud is now 47% of revenue, up from 45% a year ago.

<Q - Patrick O'Rourke - Independent>

That's helpful. And as a quick follow-up, is there any change in the linearity you saw through the quarter?

<A - Thomas Keller>

Nothing unusual on linearity; the quarter was fairly even and we exited with good momentum.

Operator

Your next question comes from the line of Tom Whitaker with Independent. Please go ahead.

<Q - Tom Whitaker - Independent>

Hi, thanks. Consensus revenue coming into the quarter was $62.4 billion; you printed $60.8 billion. Which part of the business surprised you most relative to your own plan?

<A - Thomas Keller>

We don't manage to consensus, but relative to our own plan the upside came from Intelligent Cloud. Consensus was $62.4 billion on your numbers; we came in at $60.8 billion. On the EPS line the comparison depends on which basis you use — our headline number is GAAP.

We are being deliberately conservative in how we plan, given the macro uncertainty.

<Q - Tom Whitaker - Independent>

Thanks. One follow-up: how much of that is price versus volume?

<A - Thomas Keller>

Nothing unusual on linearity; the quarter was fairly even and we exited with good momentum.

Operator

Your next question comes from the line of Ingrid Solberg with Meridian Street Research. Please go ahead.

<Q - Ingrid Solberg - Meridian Street Research>

Good afternoon. Capital expenditures were $15.8 billion this quarter. How should we think about the return on that spend, and is there a point at which it moderates?

<A - Thomas Keller>

Capital expenditures were $15.8 billion this quarter, and we expect the run rate to grow modestly. We size investment against demand signals we can see, including contracted backlog, and the returns on the capacity we brought online over the last two years are well above our cost of capital.

And to be clear about the base: the comparison a year ago was $54.1 billion of revenue, so the growth is on a large and growing base.

<Q - Ingrid Solberg - Meridian Street Research>

That's helpful. And as a quick follow-up, is there any change in the linearity you saw through the quarter?

<A - Thomas Keller>

Nothing unusual on linearity; the quarter was fairly even and we exited with good momentum.

Operator

Your next question comes from the line of Tom Whitaker with Independent. Please go ahead.

<Q - Tom Whitaker - Independent>

Thanks. Thomas, I want to make sure I have the Intelligent Cloud guide right, because the release doesn't have the numbers. Did you say $30.40 billion to $31.10 billion?

<A - Thomas Keller>

That's right, $30.40 billion to $31.10 billion for Intelligent Cloud, and total revenue of $63.2 billion to $64.7 billion, which is growth in the low double digits range in constant currency. The slide deck on the IR site has all the segment ranges.

Operator

There are no further questions at this time. I will now turn the call back over to management for closing remarks.

<A - Elena Marsh>

Thank you all for joining us today, and thank you to our employees for delivering these results. We look forward to updating you next quarter.

Operator

This concludes today's conference call. You may now disconnect.

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